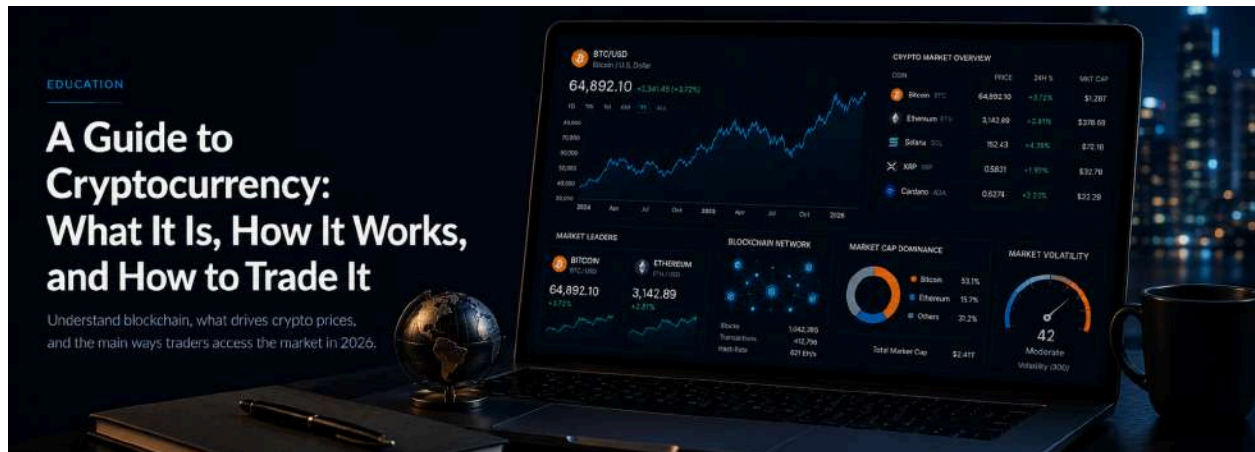




A Guide to Cryptocurrency: What It Is, How It Works, and How to Trade It

Cryptocurrency began as a niche experiment in digital money and has since grown into a global asset class commanding the attention of retail traders, institutional investors, sovereign wealth funds, and central banks alike.

As of May 2026, the total market capitalisation of all cryptocurrencies stands at approximately \$2.6 trillion — down from an all-time peak of \$4 trillion reached in late 2024, but still representing growth of more than 2,600% relative to total market capitalisation levels seen in 2017.

Yet for many people, the fundamentals of cryptocurrency remain unclear. What actually is it? How does it work? And what does trading it involve in practice? This guide addresses those questions directly — covering the technology that underpins crypto, the mechanisms that drive price, the current state of the market in 2026, and the two main ways traders engage with the asset class.

Key Points

- Cryptocurrency is a decentralised digital asset secured by cryptography and recorded on a distributed ledger called a blockchain.
- Price is driven by supply dynamics, adoption trends, macroeconomic conditions, and market sentiment — making crypto one of the more volatile asset classes available to traders.
- After reaching an all-time high above \$126,000 in October 2025, Bitcoin entered a corrective phase in 2026, trading around \$77,000–\$80,000 in May 2026. The broader market is navigating what many analysts describe as a "reset" or consolidation period.

What Is Cryptocurrency?

Cryptocurrency is a form of digital currency that uses cryptography — the science of encoding and decoding information — to secure transactions, control the creation of new units, and verify the transfer of assets. Unlike traditional fiat currencies issued by governments, most cryptocurrencies are decentralised: no single authority controls them.

Each transaction is verified through mathematical processes and recorded permanently on a blockchain — a distributed ledger shared across a network of computers. Because no single party holds the ledger, transactions are transparent and resistant to manipulation or censorship.

Bitcoin, launched in 2009 by the pseudonymous Satoshi Nakamoto, was the first cryptocurrency and remains the largest by market capitalisation — accounting for approximately 58% of the total crypto market as of May 2026. Since then, thousands of alternative cryptocurrencies (commonly called altcoins) have been developed, each with different design objectives, use cases, and underlying technology.

Some, like Ethereum, function as programmable platforms that support decentralised applications and smart contracts. Others, like stablecoins (e.g. USDC or Tether), are pegged to fiat currencies and designed to minimise price volatility. Understanding these distinctions matters for trading, because different categories of crypto behave very differently under market conditions.

How Does Cryptocurrency Work?

Four core concepts define how crypto operates in practice.

1. Blockchain Technology

The blockchain is the foundation of every cryptocurrency. It is a distributed database — maintained simultaneously across thousands of computers — that records every transaction ever made on the network. Each batch of transactions is grouped into a "block," cryptographically linked to the one before it, forming a chain.

This structure makes the record tamper-resistant: altering one block would require altering every subsequent block across the majority of the network simultaneously — a task that is computationally prohibitive. The result is a system that achieves trust without requiring a central authority.

2. Mining and Consensus Mechanisms

New cryptocurrency units are typically created through mining, used by networks like Bitcoin that employ "proof-of-work." Miners compete to solve complex mathematical problems; the first to solve the problem validates the next block and receives newly created coins as a reward.

Other networks — including Ethereum since its 2022 "Merge" upgrade — use "proof-of-stake." Under this model, validators are chosen to confirm transactions in proportion to the amount of cryptocurrency they lock up as collateral. Proof-of-stake is significantly more energy-efficient than proof-of-work and has become the dominant consensus mechanism for newer networks.

Bitcoin completed its fourth halving in April 2024, reducing the block reward from 6.25 to 3.125 BTC. This reduced the daily issuance of new Bitcoin to approximately 450 coins — a supply constraint that, combined with ETF-driven demand, contributed to the price surge through 2024 and into 2025.

3. Wallets and Storage

Cryptocurrencies are stored in digital wallets — software (or hardware) that holds the private keys needed to authorise transactions. There are two broad categories:

- **Hot wallets** are connected to the internet and designed for frequent use. They are convenient but more exposed to hacking and phishing.
- **Cold wallets** (hardware or paper wallets) are kept offline, offering significantly greater security for long-term storage.

For traders accessing crypto through derivatives or CFDs, wallet management is typically handled by the platform — removing this operational complexity from the trading process.

4. Decentralisation and Its Implications

Because cryptocurrencies are not governed by any central bank or government, they operate outside conventional monetary policy frameworks. No authority can inflate the supply at will, freeze accounts, or reverse transactions unilaterally.

However, decentralisation also means that protection mechanisms familiar from traditional finance — such as deposit insurance or regulatory recourse — generally do not apply. This is a meaningful risk consideration, particularly for those new to the asset class.

How Does Cryptocurrency Work?

Four core concepts define how crypto operates in practice.



1. Blockchain Technology

- ✓ A distributed ledger records every transaction across thousands of computers.
- ✓ Transactions are grouped into blocks and linked together cryptographically.
- ✓ This makes the record highly tamper-resistant without a central authority.

PROOF-OF-WORK (PoW)



PROOF-OF-STAKE (PoS)



2. Mining and Consensus

- ✓ Bitcoin uses proof-of-work, where miners validate blocks and earn rewards.
- ✓ Many newer networks use proof-of-stake, where validators lock up crypto as collateral.
- ✓ Bitcoin's 2024 halving reduced the block reward to 3.125 BTC, lowering new supply issuance.



 **HOT WALLET**
Connected



 **COLD WALLET**
Offline

3. Wallets and Storage

- ✓ Wallets store the private keys needed to authorise crypto transactions.
- ✓ Hot wallets are connected to the internet and are convenient for frequent use.
- ✓ Cold wallets are kept offline and offer stronger long-term security.



4. Decentralisation and Its Implications

- ✓ Cryptocurrencies operate without central bank control.
- ✓ No single authority can easily change supply, freeze accounts, or reverse transactions.
- ✓ However, users may have fewer protections than in traditional finance.



SECURE
By Design



DECENTRALISED
By Nature



SCARCE
By Code



YOU OWN
Your Keys

Image 1: How Cryptocurrency Works.

What Drives Cryptocurrency Prices?

Cryptocurrency markets are influenced by a broader and less predictable range of factors than most traditional asset classes.

Supply Dynamics

Many cryptocurrencies have fixed or algorithmically controlled supply schedules. Bitcoin has a hard cap of 21 million coins. The April 2024 halving cut the block reward to 3.125 BTC, reducing annual supply inflation to below 1%. Historically, halving events have preceded significant bull markets as reduced new supply meets sustained or growing demand — a pattern that played out again through 2024 and 2025.

Ethereum, following its 2022 Merge to proof-of-stake, burns a portion of transaction fees during periods of high network activity, making its supply deflationary at times. The December 2025 Fusaka upgrade further improved Ethereum's scalability, implementing PeerDAS technology and increasing blob capacity — developments that improve the economics of Layer-2 networks built on Ethereum.

Adoption and Institutional Demand

The approval of spot Bitcoin ETFs in the United States in January 2024 marked a structural shift in the market. For the first time, institutional investors — pension funds, endowments, and registered investment advisers — could gain direct Bitcoin exposure through regulated, familiar instruments. Spot Ethereum ETFs followed. Combined, these products now hold hundreds of billions in assets under management.

Sovereign wealth funds from Abu Dhabi and Singapore have made allocations. BlackRock, Fidelity, and other major asset managers have expanded crypto custody and structured product offerings. This institutional floor has changed the character of the market: drawdowns are often better supported than in previous cycles, but the asset class also becomes more correlated with broader financial conditions.

Macroeconomic Conditions

Bitcoin has increasingly been framed as "digital gold" — a hedge against inflation and currency debasement. During periods of monetary expansion, demand for hard-capped assets like Bitcoin can increase. The Federal Reserve's rate-cutting cycle in the second half of 2025 contributed to the rally that preceded the October all-time high.

In early 2026, the nomination of Kevin Warsh as Federal Reserve Chair — signalling a potential return to hawkish monetary policy — was one of the catalysts behind the Q1 2026 market correction. The total crypto market cap fell 20.4% in the first quarter, highlighting how sensitive the asset class remains to macroeconomic signals.

Sentiment and Speculation

Perhaps more than in any other market, short-term crypto price movements are shaped by sentiment. Social media activity, influential commentators, exchange listings, and news cycles can produce sharp, rapid price swings. The record \$19 billion liquidation event on 10 October 2025 — which followed Bitcoin's all-time high by just four days — demonstrated how quickly leveraged sentiment can reverse.

Bitcoin's correlation with the S&P 500 and Nasdaq reached approximately 0.77–0.90 during periods of macro stress in 2025, suggesting that despite its decentralised nature, Bitcoin increasingly trades as a risk asset during periods of broad market uncertainty.

Regulation

Regulatory developments remain among the most consequential factors in crypto. The EU's Markets in Crypto-Assets Regulation (MiCA) is now fully operational, with the transitional period for crypto-asset service providers ending on 1 July 2026. MiCA establishes comprehensive licensing requirements, disclosure standards, and conduct rules for crypto businesses operating across the EU — providing the regulatory clarity that institutional participants have long sought.

In the US, the current administration has adopted a markedly more pro-crypto posture than its predecessor, facilitating clearer regulatory guidance and the establishment of a national Bitcoin strategic reserve. These developments have acted as structural tailwinds for institutional adoption, even as cyclical price pressures persist.

How Is Crypto Performing in 2026?

The cryptocurrency market entered 2026 processing the aftermath of a historic cycle. Bitcoin reached an all-time high of approximately \$126,000 on 6 October 2025 — the peak of a bull run driven by post-halving supply dynamics, spot ETF inflows, and a broadly supportive regulatory environment in the United States. The rally was swift and the reversal more so: a record liquidation event on 10 October triggered a sharp correction, and Bitcoin ended 2025 around \$87,000–\$88,000, down approximately 30% from its peak.

2026 has been characterised by continued consolidation and what CoinGecko described in its Q1 2026 Industry Report as a "crypto winter" — a period of sustained bearish momentum compounded by global geopolitical instability and the nomination of a hawkish Federal Reserve chair in January. Total crypto market capitalisation fell a further 20.4% in Q1 2026 to \$2.4 trillion, leaving the asset class roughly 45% below its October 2025 peak.

By May 2026, conditions have shown tentative signs of stabilisation. Bitcoin has recovered to approximately \$77,000–\$80,000, supported by continued ETF inflows and reduced leveraged positioning. Bitcoin dominance stands at approximately 58%, reflecting the typical "flight to quality" pattern within crypto during risk-off periods, where capital concentrates in the largest assets.

Bitcoin Price Milestones: The 2024–2026 Cycle

Period	BTC Price	Key Development
Jan 2024	~\$42,500	Spot Bitcoin ETFs approved in the US
Mar 2024	~\$73,000	Pre-halving all-time high (then)
Apr 2024	~\$60,000	4th Bitcoin halving — reward cut to 3.125 BTC
Jan 2025	~\$100,000	First close above \$100K; Trump inaugurated
Oct 2025	~\$126,000	All-time high; \$19B liquidation crash follows
Dec 2025	~\$88,000	Year-end close; ~30% drawdown from ATH
Q1 2026	~\$60,000–75,000	Crypto winter deepens; total mkt cap -20.4%
May 2026	~\$77,000–80,000	Partial recovery; BTC dominance ~58%

Price figures are approximate and for illustrative purposes.

Two Competing Narratives

The most significant debate in 2026 is whether the October 2025 peak represented the end of the post-halving cycle — in which case a prolonged drawdown of 30–50% would be consistent with historical patterns — or whether the structural changes brought by ETF-driven institutional demand have broken the traditional four-year cycle.

- The "*Lame Year*" thesis, associated with analysts including [Fidelity's Jurrien Timmer](#), argues that the cycle remains intact and that 2026 is a consolidation year before a potential next leg.
- The "*Institutional Era*" counter-narrative, championed by firms including [Grayscale](#) and [Bitwise](#), holds that persistent ETF and corporate treasury demand has created a structural floor that limits the depth and duration of drawdowns relative to previous cycles.

Both narratives carry analytical weight. The outcome will depend significantly on macroeconomic conditions — particularly the direction of US monetary policy — and whether institutional inflows into Bitcoin ETFs continue to absorb selling pressure during the correction phase.

How to Trade Cryptocurrency

There are two principal methods for trading cryptocurrency. Each offers a different relationship with the underlying asset, a different risk profile, and different practical requirements.

Method 1: Trading on a Cryptocurrency Exchange

The most direct route is to purchase cryptocurrency outright through a digital asset exchange. You exchange fiat currency — or one cryptocurrency for another — and take actual ownership of the coin purchased.

To trade on an exchange, you will typically need to:

- Create and verify an account (most regulated exchanges require identity verification under anti-money laundering rules).
- Set up a digital wallet to hold your assets — either hosted on the exchange (custodial) or managed independently (non-custodial).
- Fund your account via bank transfer, card payment, or crypto deposit.
- Execute trades on the exchange's order book, which matches buyers and sellers.

Exchange trading is straightforward for long positions: buy at a price, profit if you sell higher. The full value of the asset is required upfront, and the maximum loss is limited to the capital invested. Leverage is not typically involved in standard spot trading.

The main considerations are security (exchanges have been hacked historically, and the 2022 FTX collapse remains a cautionary example for custody risk), and the practical complexity of managing wallets and private keys for self-custody arrangements.

Exchange trading — at a glance:

- You own the underlying cryptocurrency.
- Wide range of coins and trading pairs available.
- Spot trading — no leverage in standard exchange accounts.
- Profit only on upward price movements in a long position.
- Requires wallet management and custody consideration.

Method 2: Trading via Contracts for Difference (CFDs)

A Contract for Difference is a derivative instrument: rather than purchasing the underlying asset, you enter into an agreement to exchange the difference in price between the point of opening and closing a position. CFDs derive their value from the price of an underlying cryptocurrency, but ownership never changes hands.

This structure has several practical implications. It allows traders to go short — profiting from falling prices — as well as long, which straightforward exchange trading does not easily accommodate. CFDs are typically leveraged, meaning a smaller initial deposit (margin) controls a larger notional position. And because no actual cryptocurrency changes hands, there is no need to manage a wallet.

Leverage amplifies both gains and losses relative to the margin deposited. A 10:1 leverage ratio means a 5% move in the underlying asset produces a 50% gain or loss on the capital committed. In a volatile market like crypto — where 10–20% single-day moves have occurred in 2026 — this is the defining risk of CFD trading.

CFD trading — at a glance:

- No ownership of the underlying asset.
- Ability to go long or short on price movements.
- Leveraged product — smaller capital requirement, amplified risk.
- No wallet required — the platform handles the underlying exposure.
- Overnight financing charges may apply to positions held beyond the trading day.

CFD Trading Example: Bitcoin

The following simplified examples illustrate how a CFD trade on Bitcoin works in both directions. These figures exclude fees, commissions, and overnight financing charges, which would reduce net returns in practice.

Going Long (Anticipating a Price Rise)

A trader believes Bitcoin is undervalued during the current consolidation phase and expects the price to recover over the following week.

- Opening position: \$77,000 per BTC
- Closing position (5 days later): \$83,000 per BTC
- Gross return: $\$83,000 - \$77,000 = \$6,000$ per contract

With leverage applied, the margin required to open this position represents only a fraction of the notional value — but the \$6,000 gain (before fees) is calculated on the full price movement. This illustrates how leverage magnifies returns when a trade moves in the right direction.

Going Short (Anticipating a Price Fall)

A trader anticipates that hawkish Federal Reserve commentary will trigger a further pullback in Bitcoin and opens a short position.

- Opening position: \$80,000 per BTC
- Closing position (5 days later): \$73,000 per BTC
- Gross return: $\$80,000 - \$73,000 = \$7,000$ per contract

By selling short, the trader has profited from a falling market. The same leverage mechanics apply in reverse: the position would have amplified a loss equally had the price moved upward instead.

BITCOIN CFD TRADING EXAMPLES

One market. Two directions.



Note: These examples are for illustrative purposes only. They do not constitute a recommendation to buy, sell, or trade any financial instrument. Cryptocurrency prices are highly volatile, and past price movements are not indicative of future results.

Understanding the Risks

Cryptocurrency markets offer genuine opportunities, but carry risks that are more pronounced than in most traditional asset classes.

- **Volatility:** Crypto prices can move 10–20% in a single day. The \$19 billion liquidation event on 10 October 2025 and the subsequent 45% drawdown from the cycle peak are recent illustrations of how quickly conditions can shift.
- **Leverage risk:** When trading CFDs with leverage, losses are calculated on the full notional value of the position, not the margin deposited. A small adverse move can exhaust margin quickly in volatile conditions.
- **Regulatory uncertainty:** While the MiCA framework in the EU provides greater clarity than before, the global regulatory picture remains uneven. Changes to exchange licences, asset classifications, or tax treatment can affect markets rapidly.

- **Liquidity:** Major pairs like BTC/USD and ETH/USD are highly liquid. Smaller altcoins often have wide bid-ask spreads and limited market depth — making large positions difficult to exit without moving the price against yourself.
- **Custody and counterparty risk:** Holding crypto on an exchange means trusting a third party with your assets. The collapse of FTX in 2022 — which resulted in substantial losses for retail participants — remains the most significant recent example of what counterparty risk looks like in practice.

Conclusion

Cryptocurrency has established itself as a permanent — if volatile — fixture in the global financial landscape. Bitcoin's ascent to over \$126,000 in October 2025, driven by institutional adoption and post-halving supply dynamics, and its subsequent correction into 2026, illustrate the central paradox of the asset class: the same characteristics that create exceptional return potential also create exceptional risk.

The market in 2026 is more institutionally mature, more regulated, and more structurally complex than it was even two years ago. Spot ETFs, MiCA compliance frameworks, and Ethereum's continued technical evolution have changed what "crypto" means as an investable category. At the same time, the core dynamics — supply constraints, sentiment cycles, macro sensitivity, and the interaction of leverage with volatility — have not changed.

For traders, the choice between exchange trading and CFDs remains a question of objectives and risk appetite. In either case, the principles that define sound trading remain constant: understand what you are trading, size positions in proportion to your risk tolerance, and approach the market with a plan rather than a reaction.

Frequently Asked Questions

Is cryptocurrency a currency, a commodity, or an investment?

Different cryptocurrencies fit different categories, and regulators in different jurisdictions classify them differently. Bitcoin is typically treated as a commodity in the US — a classification reinforced by the approval of Bitcoin ETFs under securities law frameworks — and as a store of value by institutional investors. Ethereum is increasingly treated as a technology platform. Stablecoins function more like digital cash. For trading purposes, most participants treat crypto as a speculative asset class with equity-like volatility characteristics.

What is the difference between Bitcoin and altcoins?

Bitcoin is the original cryptocurrency and remains the dominant one by market capitalisation, currently accounting for approximately 58% of the total crypto market. Altcoins — literally "alternative coins" — refer to everything else, from Ethereum and Solana to thousands of smaller projects. Bitcoin tends to function as the benchmark asset during crypto bear markets,

with altcoins often experiencing amplified versions of its drawdowns. During bull markets, capital typically rotates from Bitcoin into altcoins in search of higher returns — a pattern often referred to as "altcoin season."

What is Bitcoin halving and why does it matter?

The Bitcoin halving is a programmatic event, occurring approximately every four years, that cuts the rate at which new Bitcoin is created in half. The most recent halving occurred in April 2024, reducing the block reward from 6.25 to 3.125 BTC. With daily new supply now around 450 coins, and demand supported by ETF inflows and institutional allocation, the supply-demand dynamics that have historically preceded major price moves remain structurally in place — even as the market navigates a corrective phase in 2026.

What is Ethereum's Fusaka upgrade?

The Fusaka upgrade, which activated on Ethereum's mainnet in December 2025, is one of the most significant protocol improvements since the 2022 Merge. Its headline innovation — PeerDAS (Peer Data Availability Sampling) — dramatically reduces the data burden on network validators, enabling Layer-2 networks to post more transaction data to Ethereum at lower cost. The upgrade effectively scales Ethereum's capacity without compromising decentralisation. Fusaka also marks the beginning of a twice-a-year upgrade schedule, accelerating the pace of Ethereum's development.

What is MiCA and why does it matter?

The Markets in Crypto-Assets Regulation (MiCA) is the EU's comprehensive legal framework for crypto-assets, now fully operational as of 2026. It establishes licensing requirements for crypto-asset service providers across all EU member states, disclosure and transparency standards for token issuers, and conducts rules covering market abuse and insider trading. The transitional period ends on 1 July 2026, after which unlicensed operators can no longer rely on transitional arrangements. For traders, MiCA matters because it significantly increases the accountability of the exchanges and platforms they use — and may shape the development of regulated crypto products in Europe for years to come.